Week 9

Getting Financing or Funding

MG4001

Instructor: Dr. Saif Maqbool

Reading Book Chapter: 10

Book Name: Entrepreneurship by Bruce R. Barringer & R. Duane Ireland 6e

Learning Objectives – Chapter 10

1. Describe the importance of financing for entrepreneurial success.
2. Explain why most entrepreneurial ventures need to raise money during their early life.
3. Identify and describe the three sources of personal financing available to entrepreneurs.
4. Explain the three most important sources of equity funding that are available to the entrepreneurial firm.
5. Describe common sources of debt financing entrepreneurial firms use.
6. Describe several creative sources of financing entrepreneurial firms may choose to use.

The Importance of Getting Financing or Funding

- The Nature of the Funding and Financing Process
  - Few people deal with the process of raising investment capital until they need to raise capital for their own firm.
    - As a result, many entrepreneurs go about the task of raising capital haphazardly because they lack experience in this area.
- Why Most New Ventures Need Funding
  - There are three reasons most new ventures need to raise money during their early life.

Why Most New Ventures Need Financing or Funding

Figure 10.1 Three Reasons Start-Ups Need Funding

Cash Flow Challenges

Inventory must be purchased, employees must be trained and paid, and advertising must be paid for before cash is generated from sales.

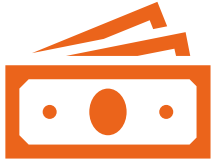
Capital Investments

The cost of buying real estate, building facilities, and purchasing equipment typically exceeds a firm's ability to provide funds for these needs on its own.

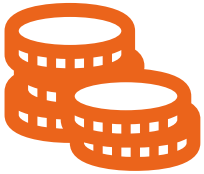
Lengthy Product Development Cycles

Some products are under development for years before they generate earnings. The up-front costs often exceed a firm's ability to fund these activities on its own.

Alternatives for Raising Money for a New Venture



Personal Funds



Debt Financing

Creative Sources

Sources of Equity Financing

- Personal Funds
- Bootstrapping
- Friends & Family
- Venture Capital
- Initial Public Offering
- Business Angels

Sources of Personal Financing

Personal Funds

- The vast majority of founders contribute personal funds, along with sweat equity, to their ventures.
  - Sweat equity represents the value of the time and effort that a founder puts into a new venture.
- **Friends and family:** are the second source of funds for many new ventures.
- **Bootstrapping**: A third source of seed money for a new venture is referred to as bootstrapping.
  - Bootstrapping is finding ways to avoid the need for external financing or funding through creativity, ingenuity, thriftiness, cost cutting, or any means necessary.
  - Many entrepreneurs bootstrap out of necessity.

Examples of Bootstrapping Methods

- Buy used instead of new equipment.
- Lease equipment rather than buying.
- Obtain payments in advance from customers.
- Minimize personal expenses.
- Avoid unnecessary expenses, such as lavish office space or furniture.
- Buy items cheaply, but sensibly, through discount outlets or online auctions such as eBay, rather than at full-price stores.
- Share office space or employees with other businesses.
- Hire interns.

Business Angels

- Are individuals who invest their personal capital directly in start-ups.
- Angel investors generally invest between $10,000 and $500,000 in a single company and are looking for companies that have the potential to grow 30 to 40 percent per year before they are acquired or go public.
- Many well-known companies, including Apple and Google, received their initial investment from one or more angel investors.
- The number of angel investors in the United States, which is estimated to be around 304,900, has increased dramatically over the past decade.
- Many angels are motivated by more than financial returns: they enjoy the process of mentoring a new start-up.

Business Angels

- Most angel investors remain fairly anonymous and are matched up with entrepreneurs via referrals.
  - To find a business angel, an entrepreneur should discreetly work his/her network of connections to see if anyone can make an appropriate introduction.
  - An advantage that university students have in regard to finding business angels is that many judge university-sponsored business plan or business model competitions.

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PAKANGELS

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Entrepreneur
Angel Investor

Naeem Zafar
Entrepreneur
Angel Investor

Naeem Raza
VC Partner

04th DEC, 2022
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- https://www.openvc.app/country/Pakistan

Venture Capital

- Venture capital is money that is invested by venture capital firms in start-ups and small businesses with exceptional growth potential.
- A distinct difference between angel investors and venture capital firms is that angels tend to invest earlier in the life of a company, whereas venture capitalists come in later.
- The majority of venture capital money goes to follow-on funding for businesses that were originally funding by angel investors, government programs, or by some other means.
- Venture capital firms are limited partnerships of money managers who raise money in "funds" to invest in start-ups and growing firms.
- The funds, or pools of money, are raised from high-net-worth individuals, pension plans, university endowments, foreign investors, and similar sources.
- The investors who invest in venture capital funds are called limited partners. The venture capitalists are called general partners.

Venture Capital

- Many entrepreneurs become discouraged when they are repeatedly rejected for venture capital funding, even though they may have an excellent business plan.
- Firms that qualify, venture capital is a viable alternative to equity funding.
- An advantage to obtaining this funding is that venture capitalists are extremely well-connected in the business world and can offer a firm considerable assistance beyond funding.
- An important part of obtaining venture capital funding is going through the due diligence process, which refers to the process of investigating the merits of a potential venture and verifying the key claims made in the business plan.

Venture Capital

- Start-ups should ask the following questions before accepting funds from a particular venture capital firm.
  - Do the venture capitalists have experience in our industry?
  - Do they take a highly active or passive management role?
  - Are the personalities on both sides of the table compatible?
  - Does the firm have deep enough pockets or sufficient contacts within the venture capital industry to provide follow-on rounds of financing?
  - Is the firm negotiating in good faith in regard to the percentage of our firm they want in exchange for their investment?

Venture Capital	vs	Angel Investors
Pooled funds from institutional investors	Source of Funds	Personal wealth
Early to mid-stage	Investment Stage	Very early stages
Typically larger, often in millions	Investment Size	Typically smaller, in tens to hundreds of thousands
Often larger	Equity Stake	Smaller
Typically high (board seats, active in decision making)	Involvement	Varies, can be hands-on or passive
Clearly defined (IPO, acquisition etc)	Exit Strategy	Less formalized, often follow VC's lead

Sources of Debt Financing

- Commercial Banks
- Factoring
- Trade Credit
- Merchant Cash Advance
- Peer to Peer Lending

Commercial Banks

- Historically, commercial banks have not been viewed as a practical source of financing for start-up firms.
  - This sentiment is not a knock against banks; it is just that banks are risk averse, and financing start-ups is a risky business.
    - Banks are interested in firms that have a strong cash flow, low leverage, audited financials, good management, and a healthy balance sheet.
    - Although many new ventures have good management, few have the other characteristics, at least initially.

Commercial Banks

- The good news is that despite these historical precedents, some banks are starting to engage start-up entrepreneurs.
- When it comes to start-ups, some banks are rethinking their lending standards and are beginning to focus on cash flow and the strength of the management team rather than on collateral and the strength of the balance sheet.
- Entrepreneurs should follow developments in this area closely.

Types of Loans

FasterCapital

Microfinance Banks in Pakistan

Micro Finance apna bank Limited

FINCA® Microfinance Bank Limited

telenor microfinance bank

Mobilink Microfinance Bank Ltd

HBL MICROFINANCE BANK مائیکروفنانس بینک

NRSP Microfinance Bank

microfinance Ubank

Union Microfinance empowering You

The First MicroFinanceBank Ltd Enabling Individuals

TAMEER Microfinance Bank Limited تعمیر مائیکروفنانس بینک لمیٹڈ

Pak Oman Microfinance Bank Limited

Waseela A MICROFINANCE BANK

SINDH MICROFINANCE BANK LTD سندھ مائیکروفنانس بینک لمیٹڈ

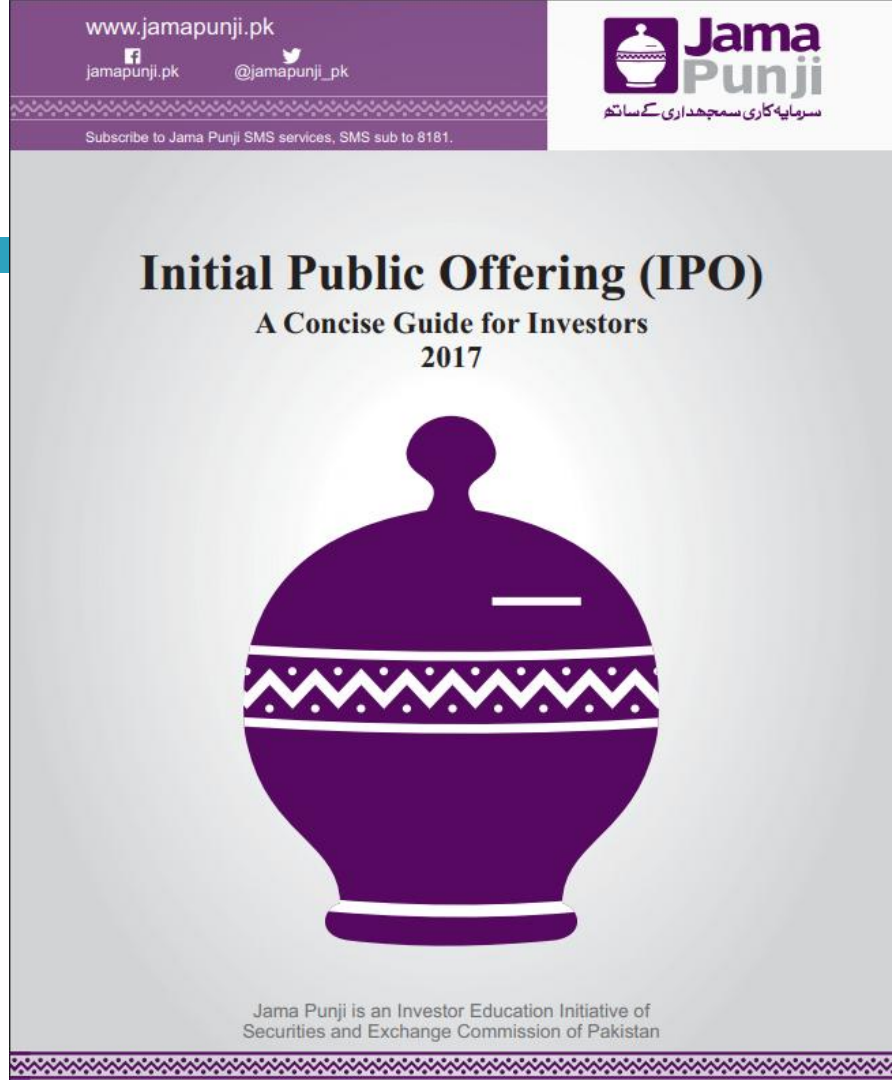
SINDH MICROFINANCE BANK development through empowerment

FASTI

Interest-Free Microfinance - Akhuwat

Initial Public Offering

- An initial public offering (IPO) is a company's first sale of stock to the public. When a company goes public, its stock is traded on stock exchange.
- Entrepreneurial firms that go public trade on the Pakistan Stock Exchange Limited.
- An IPO is an important milestone for a firm. Typically, a firm is not able to go public until it has demonstrated that it is viable and has a bright future.



Initial Public Offering

Reasons that Motivate Firms to Go Public

Reason 1

- Is a way to raise equity capital to fund current and future operations.

Reason 2

- Raises a firm's public profile, making it easier to attract high-quality customers and business partners.

Reason 3

- Is a liquidity event that provides a means for a company's investors to recoup their investments

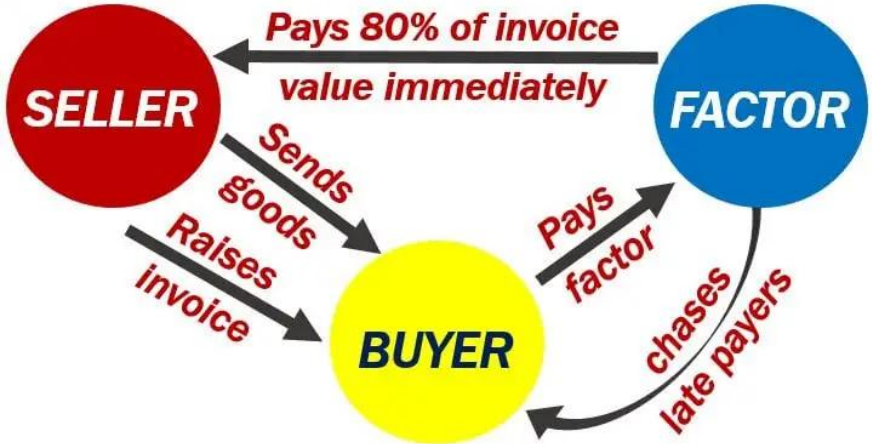
Reason 4

- Creates a form of currency that can be used to grow the company via acquisitions.

Factoring

Factoring

Selling your invoices to a factoring company. It takes a fee, gives you cash now, and chases your debts.



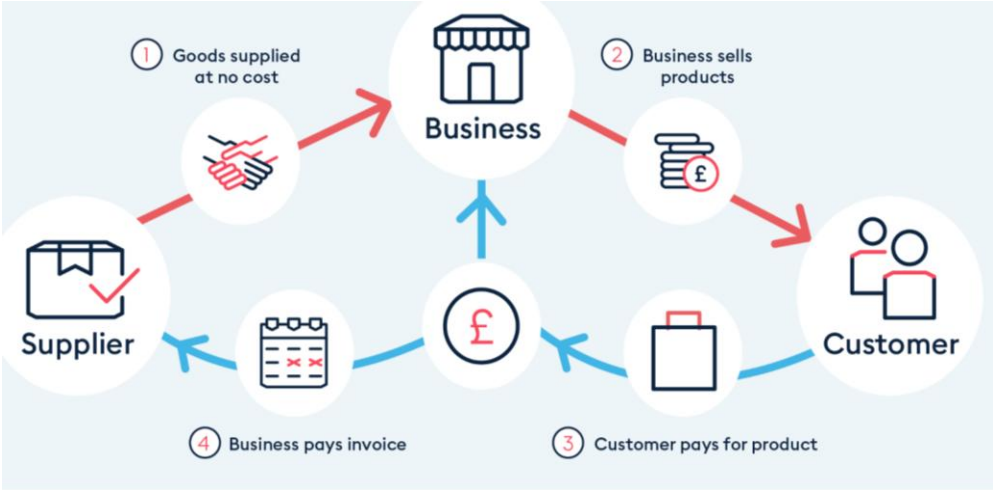
Advantages	Disadvantages
Quick access to cash	Reduces profits
It's not a loan	It can damage existing customer relationships
No more chasing invoice payments	Customers are aware
It's flexible	You might end up paying if the customer can't
Quicker business growth	
A good option if you have bad credit	

Trade Credit

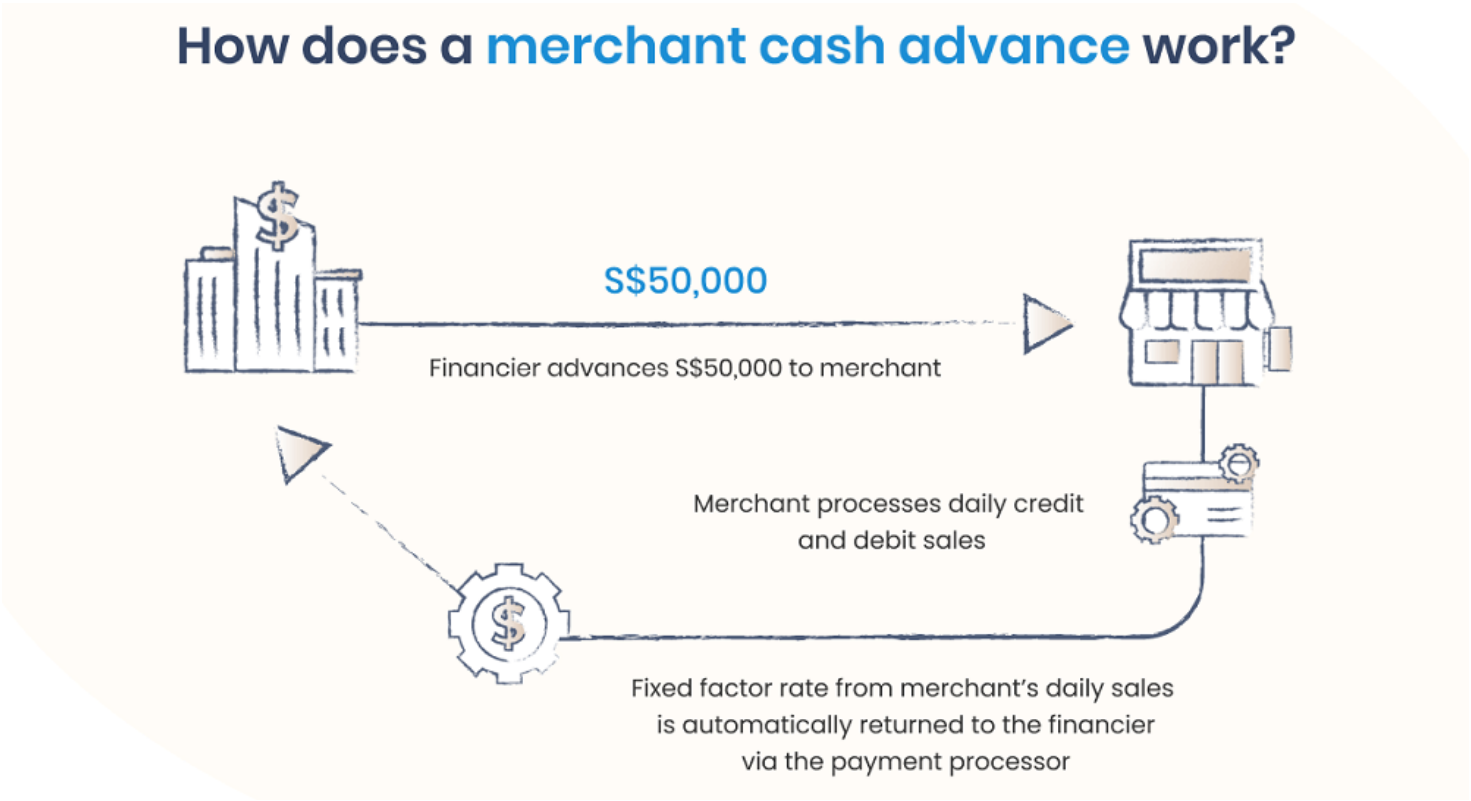
Trade Credit

['trād "kre-dit]

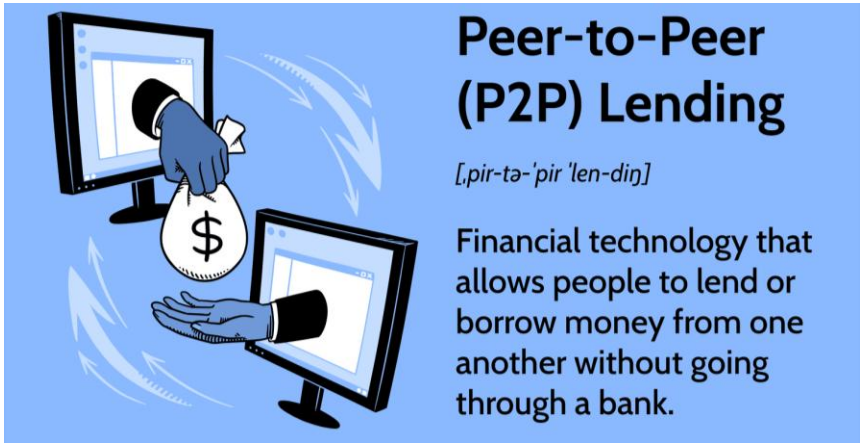
A business-to-business (B2B) agreement in which a customer can purchase goods without paying cash up front, and paying the supplier at a later scheduled date.

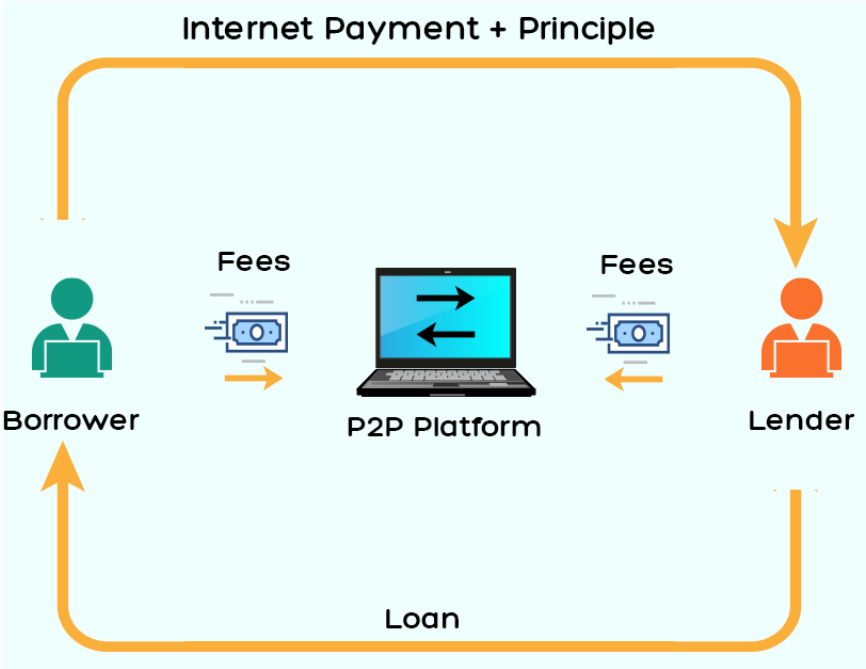


Merchant Cash Advance



Peer to Peer Lending





Creative Sources of Financing or Funding

- Crowdfunding
- Leasing
- Strategic Partners

Crowdfunding

- Crowdfunding is the practice of funding a project or new venture by raising monetary contributions from a large number of people (the "crowd") typically via the Internet.
- Two Types of Crowdfunding Programs
  - **Rewards-based crowdfunding** allows entrepreneurs to raise money in exchange for some type of amenity or reward.
  - Kickstarter and Indiegogo are the most popular rewards-based crowdfunding sites.

Types of Crowdfunding

Reward-Based Crowdfunding

It involves individuals contributing comparatively small amounts of money to projects in return for some kind of reward.

EXAMPLE

KICKSTARTER

Donation-Based Crowdfunding

It is a way to source money for a project by asking a large number of contributors to individually donate a small amount to it.

EXAMPLE

gofundme

Peer-to-Peer Lending

It is the practice of lending money to individuals or businesses through online services that match lenders with borrowers.

EXAMPLE

LendingClub

the balance

Crowdfunding

- **Equity-based crowdfunding** helps businesses raise money by tapping individuals and investors who provide funding in exchange for equity in the business.
- The catalyst for the advent of equity-based crowdfunding was the JOBS Act, which was passed in April 2012.
- Four of the most popular equity-based crowdfunding sites are MicroVentures, Fundable, Crowdfunder, and CircleUp.
- Equity-based crowdfunding is gaining momentum. Over $85 million has been invested through MicroVentures since 2009.
- https://www.crowdfunding.com/

Crowd Funders

Crowd funding Platforms-

Reward based Crowd funding platforms- will help you to raise funding to build a proto-type and market test a great idea or product.-

- www.kickstarter.com (USA)
- www.indiegogo.com (USA)
- www.peoplefund.it
- www.sponsume.com
- www.pleasefund.us
- www.wefund.com
- www.pozible.com
- www.crowdfunder.co.uk

Equity/ investment Crowd funding platforms:

- www.crowdcube.com
- www.seedrs.com

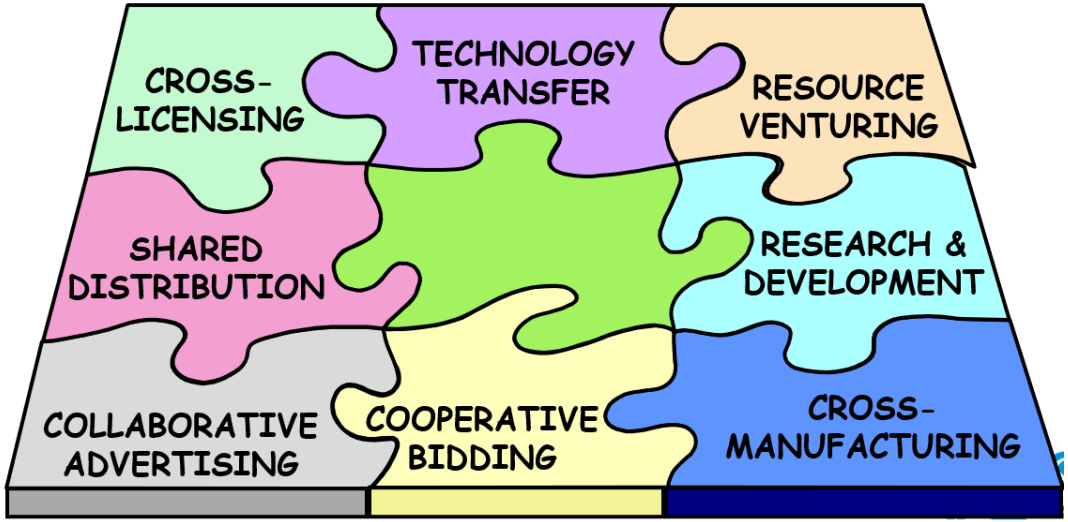
Leasing

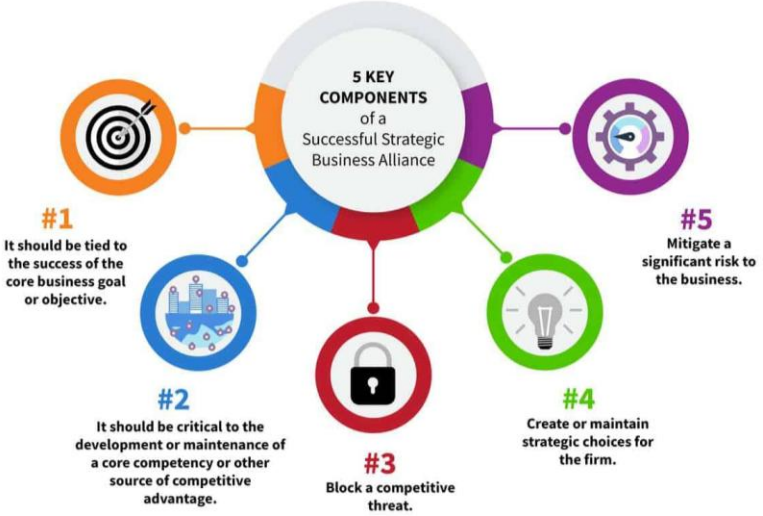
- A lease is a written agreement in which the owner of a piece of property allows an individual or business to use the property for a specified period of time in exchange for payments.
- The major advantage of leasing is that it enables a company to acquire the use of assets with very little or no down payment.
- Leases for facilities and leases for equipment are the two most common types of leases that entrepreneurial ventures undertake.

Leasing

- Most leases involve a modest down payment and monthly payments during the duration of the lease.
- At the end of an equipment lease, the new venture typically has the option to stop using the equipment, purchase it for fair market value, or renew the lease.
- Leasing is almost always more expensive than paying cash for an item, so most entrepreneurs think of leasing as an alternative to equity or debt financing.

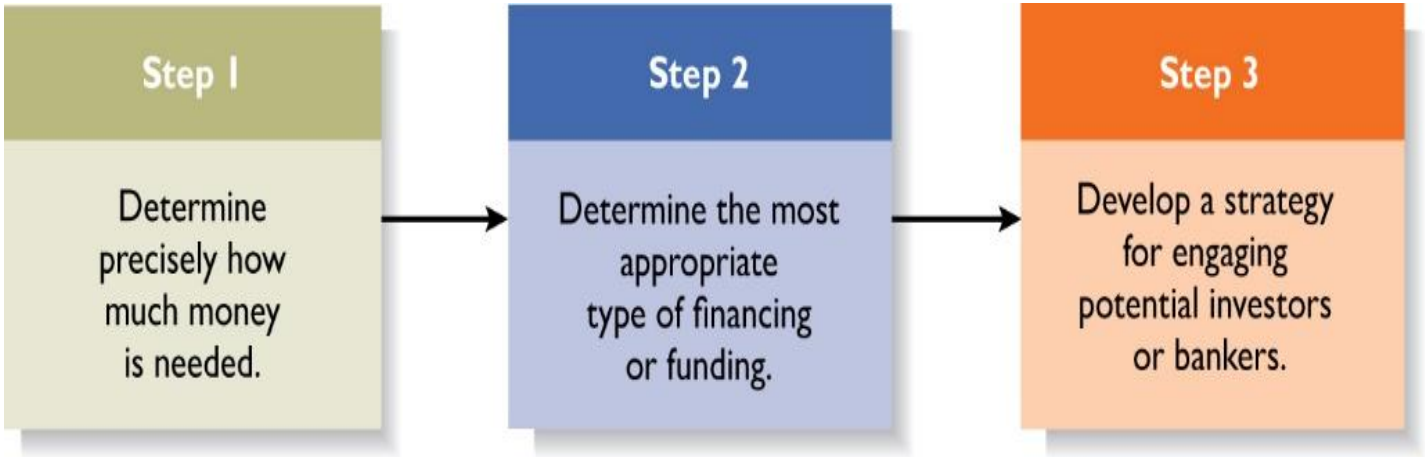
Strategic Partners





Preparing to Raise Debt or Equity Financing

Figure 10.3 Preparation for Debt or Equity Financing



Preparing to Raise Debt or Equity Financing

Step 1

Two Most Common Alternatives

Equity Funding

- Means exchanging partial ownership in a firm, usually in the form of stock, for funding.

Debt Financing

- Is getting a loan.

Preparing to Raise Debt or Equity Financing

Step 2

Characteristics of the Venture	Source of Financing
The business has high risk with an uncertain return: Weak cash flow High leverage Low-to-moderate growth Unproven management	Personal funds, friends, family, and other forms of bootstrapping
The business has low risk with a more predictable return: Strong cash flow Low leverage Audited financials Good management Healthy balance sheet	Debt financing
The business offers a high return: Unique business idea High growth Niche market Proven management	Equity

Preparing to Raise Debt or Equity Financing

Step 3

Preparing an Elevator Speech

Purpose

- An elevator speech is a brief, carefully constructed statement that outlines the merits of a business opportunity.
- There are many occasions when a carefully constructed elevator speech might come in handy.
- Most elevator speeches are around 60 seconds long.

Preparing to Raise Debt or Equity Financing

Step 3

Guidelines for Preparing an Elevator Speech

Step 1	Describe the opportunity or problem that needs to be solved.	**20 seconds**
Step 2	Describe how your product meets the opportunity or solves the problem.	**20 seconds**
Step 3	Describe your qualifications.	**10 seconds**
Step 4	Describe your market.	**10 seconds**
Total		60 seconds

Remember –What's important when seeking finance

- The quality and "connections" of the management team
- The size of the business opportunity/ funding need
- The scope for building a sustainable competitive advantage
- The level of risk/ security.
- And the timeliness of the proposal

Will determine the attractiveness of your business to investors, lenders and funders

- The ability of the entrepreneur to negotiate well and of the team to execute the business plan convincingly-

Will determine the type, price and quality of the deal that can be achieved